

Gross Profit Margin is one of the most important numbers to understand as a company with high Gross Profit Margin can spend on brand building, advertising, employees, and other areas depending on the type of business.

Gross Margin also indicates the competitive position of a company and its ability to charge higher or pay lower to suppliers. Over time, Gross Margin should improve as the volume increases and the unit cost of manufacturing raw materials decreases. This is also known as economies of scale. Thus, the Gross Profit Margin should increase over time. It is also important to understand its trajectory well. However, in cyclical industries dependent on prices of crude oil, steel, etc., the gross margin varies across different stages in the cycle.



An increase in gross profit margin indicates that the company is enjoying economies of scale. It is also important to compare the gross profit margin of a particular company with that of its competitors. A high gross profit margin means that the company is able to charge more for its products or pay less to the suppliers.

